

— EDITION 03

The 7 Layers of the AI Payments Stack

Everyone is building better fintech dashboards. Nobody is building the architecture for autonomous money. Here is the blueprint.

A 8-part breakdown

SWIPE >>>>

0101 / 08

| Layer 7: The Application Layer (LLM).

The user-facing AI model or agent framework that parses human intent, evaluates options, and explicitly decides to make a purchase.

0202 / 08

Layer 6: The Protocol Layer.

Open web standards—such as emerging Universal Commerce Protocols—that enable autonomous software agents to query merchant catalogs cleanly.

0303 / 08

Layer 5: The Identity Layer.

Decentralized Identifiers (W3C DIDs) and cryptographic signatures proving that a software agent is genuinely authorized by a verified human or corporate entity.

0404 / 08

Layer 4: The Permissioning Layer.

Smart policy engines and guardrails (like session keys) that define strict boundaries on maximum budgets, approved vendor lists, and expiration dates.

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Layer 3: The Wallet & Vault Layer.

Secure tokenization environments where raw financial credentials or balances live, completely isolated from the main LLM to prevent prompt injection leaks.

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Layer 2: The PSP Orchestration Layer.

Dynamic payment service routing that automatically calculates the most efficient, cost-effective processing gateway for a machine transaction.

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Layer 1: The Settlement Layer.

The final movement of value across the network. This pits real-time domestic rails (FedNow/RTP) directly against internet-native stablecoin ledgers.

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Save This: The Full Stack on One Slide.

L7 Application (the LLM decides) → L6 Protocol (agents query catalogs) → L5 Identity (DIDs prove authority) → L4 Permissioning (budgets and guardrails) → L3 Wallet & Vault (isolated credentials) → L2 Orchestration (cheapest route wins) → L1 Settlement (real-time rails vs stablecoins). Margin accrues where friction dies: *Permissioning and Vaults*.

— THE TAKEAWAY

Which layer **wins?**

Drop your bet in the comments — I read every one. Repost to share the blueprint, and follow for daily breakdowns of the agentic payments stack.

◆ Joseph Bankole